

But here's the true litmus test to determine whether you're ready to get a credit card and start building your credit rating: When you understand the difference between buying something necessary and buying stuff you don't need but really want, you know you're ready to begin using a credit card.

Money Mistake: You Think Credit Cards and Financial Services Are Free

THE FIX: BE AWARE OF HIDDEN FEES AND INTEREST

A plastic card, or layaway plans, can stimulate a lot of magical thinking in a teenager, and generate a lot of ignorance. For the young folks reading this, I suggest you do not get or use a credit card until you understand a basic savings account and debit card and know how to use a checking account. You can even practice by first getting comfortable using a prepaid card for at least a year so you fully understand a spending and billing cycle. But be aware of the phenomenal amount of fees attached to those cards. Prepaid cards are being used more and more in lieu of checking accounts by people who are fleeing high fees from banks. But you still have to pay to put money on those prepaid cards. So always read the fine print. Speaking of which, check out your credit card bill, where it tells you how long it will take you to pay off a balance if you're making only minimum payments. Banks and credit card companies are required to post that information, because in some cases a seemingly manageable amount—like, say, \$2,000—can still take several years to pay off, if you're making only the minimum payment.

The most important thing you need to understand is that when you get a credit card, you're allowing the banks and credit card companies an inside look at your spending habits. You're effectively saying to a bank, "You're now allowed to make judgments and decisions about my financial worth based on what I do with this card." The bank or credit card company is now your official financial monitor. So you have to start monitoring *them*. Watch for hidden fees, scrutinize your